Letter from the Founders

May 2025

Dear LOCOAL® Supporters,

LOCOAL® has achieved a defining milestone: RAINMAKER™ UNIT #1 IS FINISHED, fully engineered, tested, and heading to Houston for our first deployment with 48forty Solutions. This marks the start of a scalable, profitable waste-to-value platform, delivering high-value co-products, energy, and verified carbon credits. IMPCT.AI™, our proprietary software, driving real-time intelligence and reporting. AFTERBURN™, our syngas to electricity generation solution, is set to power sites by fall. LOCOAL is now poised to change the waste-to-energy industry!

This season has been transformative. Despite economic volatility and shifting policies, LOCOAL's model maintains global IP ownership, while working with domestic suppliers and manufacturers to ensure resiliency. As the only U.S. made OEM in our class, we're fielding inquiries from companies pivoting from overseas systems, securing contracts, and exploring opportunities to build, sell, or license our technology worldwide. Waste persists, energy demand endures, and carbon markets are surging—LOCOAL is built to thrive.

Miles' recent roadshow across New Orleans, Houston, Austin, Atlanta, Dallas, Vancouver, and Rhode Island (where he'll lead a panel on carbon extraction) has sparked strategic discussions with global leaders. Partners and investors see LOCOAL as a beacon of stability in an uncertain landscape. Meanwhile, our team was on site to conduct the factory acceptance testing of RAINMAKER #1, a moment years in the making. This field-ready system, paired with IMPCT.AI, delivers smarter operations, durable carbon credits, and a scalable fleet model.

IMPCT.AI isn't just software—it's a game-changer. It reads dozens of sensors, tracks trends, and tunes RAINMAKER for higher carbon purity, energy yield, or throughput. This intelligence drives efficiency and transparency, ensuring maximum value for customers. AFTERBURN, queued for fall, blends syngas produced by RAINMAKER with natural gas to self-power RAINMAKER and exports surplus to the grid.

We're also pushing boundaries, expanding R&D into complex feedstocks like rubber, plastics, and railroad ties. Success here could unlock multi-billion-dollar verticals in waste and infrastructure, further diversifying revenue streams.

Our team is our strength. Justin Blocker welcomed his son, Nicolas "Nico" Barron Blocker, while delivering a stunning website redesign. Garrett Gordon and Andrea were engaged at our April ribbon-cutting, surrounded by friends, family, and partners, reminding us we're building more than a business—we're building a legacy.

The macro landscape is challenging—shifting energy policies, tightening budgets, and trade tensions. But LOCOAL was designed for resilience, not reliance on subsidies. We leveraged early Air Force R&D support, but our model stands on unshakable truths:

- Waste is perpetual.
- Energy is essential.
- Physical carbon has rising market value.
- Carbon markets increasingly demand high-value and transparent carbon removals.
- Fossil fuel replacement products are growing in demand

Whether selling biochar to agriculture, energy via PPAs, or carbon credits globally, LOCOAL adapts and delivers.

We're commissioning our first commercial system in Houston soon and will host an unveiling event. Join us to witness the future of sustainable innovation. Together, we're shaping an industry and delivering value that endures.

With gratitude,
— Miles & Petey

1. Technology Deployment Update

From engineered vision to field-ready execution

LOCOAL's technology stack is no longer theoretical. It's real, built, tested, and moving. With RAINMAKER™ finalized, IMPCT.AI™ goes live, and AFTERBURN™ scheduled for integration, we're entering commercial execution with a unified hardware + software system designed to generate value from waste—continuously and globally.

This is where system design meets efficiency, modularity, and scale.

RAINMAKER™ 1 – Built, Tested, and Transport-Ready

RAINMAKER is a 53' x 13.5' x 8.5' continuous-flow pyrolysis system. Its dimensions were intentionally engineered to remain within the size constraints of all major global freight standards—truck, rail, barge, ocean freight, and heavy-lift air cargo. At just under 90,000 lbs, Unit #1 will be deployed to Houston in the coming weeks for site commissioning.

What sets this system apart isn't just its footprint—it's the performance:

- 500+ operational hours logged in factory testing
- ±5°C thermal precision across the pyrolysis reactor zones
- 90% fixed carbon biochar, certified via third-party lab testing
- Syngas output exceeding 20 MJ/m^3 with <50 ppm sulfur
- Continuous throughput up to 50 tons/day—zero batch downtime

RAINMAKER™

RAINMAKER™ is a data driven induction pyrolysis platform that enables 24/7 operation with near-real time reporting to optimize impact. It processes a broad range of biomass, delivers stable co-product outputs, and does so with unmatched mobility and scalability.

Each Rainmaker deployment generates multiple marketable outputs. These aren't byproducts—they're diversified revenue streams with distinct markets:

1. **Biochar** – High-carbon purity for agriculture, filtration, building materials, and carbon credits
2. **Bio-Oil** – Condensable hydrocarbons used in industrial or fuel-grade applications
3. **Wood Vinegar** – Natural biopesticide and soil enhancer
4. **Synthesized Natural Gas** – Fuel input for onsite generation via AFTERBURN™
5. **Data & Carbon Credit Streams** – Real-time operational data qualified for high-value carbon credits

This isn't just waste diversion—it's waste monetization, across physical and digital channels.

IMPCT.AI™ – Fleet Intelligence in Real Time

IMPCT.AI™ is our integrated monitoring and optimization platform. Every RAINMAKER system feeds into this digital layer, enabling centralized fleet control and automated carbon capture reporting.

Live capabilities include:

- Sensor fusion across thermal, mechanical, and flow inputs
- Automated MRV reporting (Monitoring, Reporting, Verification) for carbon markets
- Performance tuning based on co-product goals—carbon purity, energy, throughput
- Remote operational control and diagnostics, enabling global fleet deployment without proportional O&M staff increases (In Development)
- Predictive maintenance to reduce unplanned downtime and extend asset life (In Development)

This system turns our hardware into a platform. It’s not just about what we build—it’s about what we can scale.

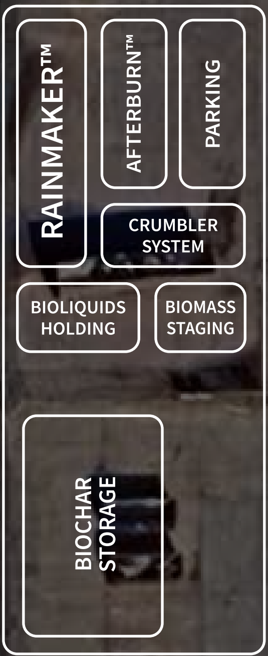
AFTERBURN™ – Clean, Efficient Onsite Power

AFTERBURN™ is our fuel blending system for power generation. It takes the synthesized gas from RAINMAKER, conditions and blends it with ambient air and natural gas, and feeds it into a generator—yielding clean, sustainable electricity.

Houston’s site will be the first to run this stack in full:

- Up to 1.5 MWh generation capacity
- Up to 1.0 MWh consumed onsite
- Approximately 0.5 MWh available clean energy for export

This closes the loop. Waste in, energy out—with environmental and financial value captured at every stage.



2. Houston Project Launch

Strategic location. Real visibility.

We're kicking off LOCOAL's commercial deployment in Houston, Texas—a city known for its pipelines, refineries, and energy dominance, but increasingly recognized as a hub for industrial innovation. Houston is the energy capital of the world and fast becoming one of the most active testing grounds for climate tech in the U.S., and we're placing LOCOAL right in the heart of it.

With more than 4,000 energy companies, Houston is home to corporate giants like Shell, Chevron, United Airlines, and ExxonMobil—with many of whom we've already started conversations. It's also where startups are taking root. Greentown Labs, one of the largest climate incubators in North America, has over 70 climate tech companies in its Houston portfolio alone. The Cannon is supporting a growing community of hardware-focused ventures. There's capital here, but more importantly, there's interest from established industry players trying to figure out what comes next. LOCOAL is next.

The Rainmaker going into 48forty Solutions' site isn't a demo unit. It's a fully operational, grid-integrated system running continuous pyrolysis, data-verified crediting, and syngas-to-power blending. It will process real waste, generate real value, and deliver measurable carbon removal—all visible in the same city where the global energy supply chain is being reimagined.

We're solving the waste-to-energy problems from all angles. We've built a solution for the overlooked layer of the supply chain—the physical mess left behind at logistics hubs, recycling yards, pallet manufacturers, and many other logistical operations that rely on pallets. The sites that move the economy forward but quietly bleed emissions and landfill waste every day.

By starting in Houston, we're not just aligning with the future of energy—we're making a case for distributed infrastructure, right where waste and energy intersect. This site proves that RAINMAKER works. It proves there's no excuse not to put one at every major industrial hub that's ready to stop burning, dumping, or flaring materials that should be turned into value.

3. Team Momentum

Execution isn't about headcount. It's about horsepower.

While RAINMAKER was moving from fabrication to field readiness, the LOCOAL team has been focused on what matters—capital, customers, and coordination. No noise, no excess, just disciplined execution across every front of the business.

Over the past quarter, we've made real progress on all the tracks that determine whether this company scales like a product or stalls like a prototype. It's worth highlighting how the team has turned up the volume without losing control.

I spent the last five weeks on the road—meeting with Shell Ventures, ExxonMobil, United Airlines Ventures, and several industrial groups that sit at the crossroads of waste, logistics, and energy. These weren't pitch sessions—they were working sessions. We're now in active discussions around field validation, offtake layering, and joint development pathways for broader deployment. The interest is real, and it's growing.

Petey has been grinding through our public-private pipeline, expanding site opportunities in the Midwest, Mountain West, and Southeast. He's working across state agencies, county land managers, and private industrial recyclers to turn interest into physical sites. Our LOI pipeline now spans well over $200 million, and those prospects are tied to regional demand signals, not just speculative ideas.

Justin Blocker, LOCOAL's software lead and a proud veteran, is embracing life with his two young children, Frances and Nico, while spearheading our digital efforts. Recently, he's designed and developed IMPCT.AI, led a complete LOCOAL.com redesign, and designed the visual layout of this newsletter. In addition, Justin produces original content, including professionally edited images and videos, such as the engaging hero video on the website's landing page and the IMPCT.AI demo video, showcasing our biomass conversion systems with clarity and impact.

And at the core of it all, we had our first in-person ribbon-cutting event in nearly two years—bringing together engineers, family, partners, and supporters to stand in front of the machine we built together. Garrett and Andrea got engaged right after the walkthrough. That was personal. That was earned.

We don't celebrate easily around here, but that moment mattered.

LOCOAL is a dedicated team that shows up, solves problems, and moves fast. Everyone on the team—from mechanical engineering to operations to legal and back—is aligned on what we're building and why it matters.

4. Market Signals

The noise is real. So is the opportunity.

With RAINMAKER #1 complete and deployment in motion, the focus shifts from validation to replication. We're not in the speculative stage anymore. We're at the point where building RAINMAKER units is repeatable and scalable.

What's becoming clear is this: companies with physical product, customer traction, and exportable carbon value are separating themselves from the noise. LOCOAL was built for this moment.

We're watching a few key shifts that reinforce our strategy:

Biochar is breaking out of the agriculture silo.
The global market is approaching $1 billion in 2025, with projections still holding for $2.6B by 2032. But biochar growth is also developing in filtration, construction materials, carbon-black alternatives, and stormwater management. Our >90% fixed-carbon content puts us in the top tier of industrial-grade material—and we have the consistency to meet spec.

The carbon credit market is shifting toward permanence.
Avoidance credits are falling out of favor. What buyers want now is removal—and specifically removal that can be verified, modeled, and permanently stored in a solid state. That's where biochar sits. The average market price for verified, permanent carbon removal has crossed $100/ton, with some trades nearing $150/ton depending on methodology and transparency. IMPCT.AI™ puts us in the premium bracket by offering automated dMRV and auditability from the moment waste enters the hopper.

U.S. energy and infrastructure players are looking local again.
Supply chain disruption, inflation protection acts, and tariff policy are making it harder to depend on foreign clean tech. Most pyrolysis systems today are imported, fragile, and unsupported. We're American-made. We own our IP. And we're not waiting for tax credits to make the economics work.

Waste costs are still rising.
Landfill tipping fees are up again—hovering in the $60–$80/ton range, with urban markets pushing higher. Meanwhile, utilities are under pressure to source more renewable or carbon-negative electrons. LOCOAL directly reduces tipping fees and generates dispatchable power from waste—not through handwaving or incentives, but by physically processing materials and putting energy back into the system.

The signals are out there. Some are caution lights. LOCOAL sees green lights.

What matters is that our model holds its ground either way. Whether credit markets soar or stall, whether subsidies come or go, whether capital floods in or stays cautious—we operate with real customers, real product, and real revenue potential.

5. Execution Timeline & Closing Thought

From one to many, without changing who we are.

With RAINMAKER #1 complete and deployment in motion, the focus shifts from validation to replication. We're not in the speculative stage anymore.

The engineering is locked. The business model has been pressure-tested. Offtake demand is real. Credit protocols are integrated. The only thing between us and scale is time and execution.

2025–2026 Execution Roadmap

Q2 2025

- Rainmaker #1 trucks to Houston
- Site commissioning and partner training
- IMPCT.AI™ goes live in field setting
- First demos and stakeholder

Q3 2025

- AFTERBURN™ installed and activated
- Power export system operational
- First PPA signed
- Carbon credits generated and verified through IMPCT.AI™

Q4 2025

- Manufacturing begins on Units 2–5
- Long-lead parts secured through partner network
- New site contracts initiated based on live project data
- R&D trials on rubber and rail tie feedstocks underway

Q1 2026

- Additional 90–120 tons/day capacity comes online
- Second and third deployments activated
- Fleet begins generating recurring revenue across co-products, energy, and credits

LOCOAL is moving from prototype to commercialization. RAINMAKER is a repeatable and scalable platform for users that need real impact. Waste to energy is a global problem and LOCOAL provides the local solution.

Rainmaker isn't one machine. It's the foundation of a platform—physical, digital, and commercial. Houston proves it. The rest of the country is next.

Thanks for walking this road with us. We're just getting started.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